

i = nominal interest rate = 5% per year

π^e = expected inflation rate = 2% per year

Example 1

t = tax rate on interest income = 30%

Nominal after-tax interest rate = $(1 - t)i = (1 - 0.30)5\% = 3.5\%$

Expected real after-tax interest rate = $(1 - t)i - \pi^e = (1 - 0.30)5\% - 2\% = 1.5\%$

Example 2

t = tax rate on interest income = 20%

Nominal after-tax interest rate = $(1 - t)i = (1 - 0.20)5\% = 4\%$

Expected real after-tax interest rate = $(1 - t)i - \pi^e = (1 - 0.20)5\% - 2\% = 2\%$